told Narayanan that China took a strategic view of India and that he had great confidence in the future of the relationship.

The negotiations and diplomacy between India and China on the nuclear deal and in the NSG was conducted in the shadows and never directly. India was to get a true measure of how China operated at the multilateral level. China's objective of maintaining strategic and nuclear asymmetry with India was the foundation of its negotiating strategy. It couched the issue, the NSG waiver, in terms of principle, in order to ensure that it did not become an India–China issue. This helped both in maintaining cordial relations with India and in persuading the 'purists' within the NSG that they were fighting for the principle of non-proliferation. The way the principle was formulated also left room for China to move in either direction, since it juxtaposed the right of all countries to have access to nuclear energy along with non-proliferation concerns. It was difficult for India to take issue publicly with China on the matter. This showed the manner in which China thought ahead to the endgame in the negotiations and kept an exit route that would be available if things did not pan out as expected.

China's interactions with India throughout this period were in contrast to the position taken by them during the 1998 nuclear tests. The topic of the 123 Deal and the clean waiver that India was seeking from the NSG was never raised by the Chinese in bilateral meetings, and rarely discussed whenever India raised the issue. Instead, the Chinese appeared to operate through the Left parties and the left-leaning media in India that had an ideological problem with regard to nuclear weapons, in an effort to build domestic opposition to the Indo–US deal. This might have been the first instance for China to operate politically in Indian domestic politics. China is becoming more sophisticated in its manipulation of Indian interest groups.